Faithful Finances

Week 6: The Investor (Part 2)

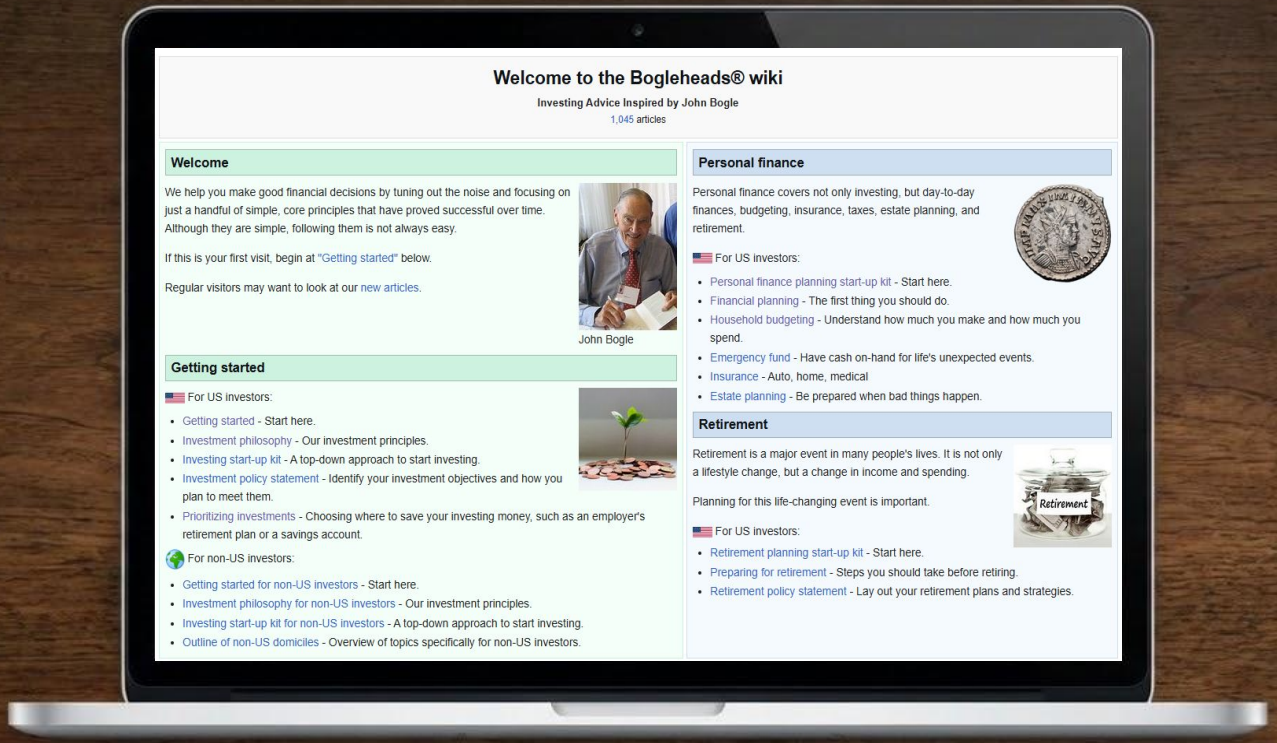
The Wisdom of Diversification

"Cast your bread upon the waters, for you will find it after many days. Give a portion to seven, or even to eight, for you know not what disaster may happen on earth… He who observes the wind will not sow, and he who regards the clouds will not reap."
(Ecclesiastes 11:1-4 ESV)

The Boglehead Strategy

- Buy the Haystack: Own the whole economy
- Keep Costs Low: Watch expense ratios
- Stay the Course: Ignore the weather.

Community & Strategy



Welcome to the Bogleheads® wiki

Investing Advice Inspired by John Bogle

1,045 articles

Welcome

We help you make good financial decisions by tuning out the noise and focusing on just a handful of simple, core principles that have proved successful over time. Although they are simple, following them is not always easy.

If this is your first visit, begin at "Getting started" below.

Regular visitors may want to look at our new articles.

John Bogle

Getting started

For US investors:

- Getting started - Start here.
- Investment philosophy - Our investment principles.
- Investing start-up kit - A top-down approach to start investing.
- Investment policy statement - Identify your investment objectives and how you plan to meet them.
- Prioritizing investments - Choosing where to save your investing money, such as an employer's retirement plan or a savings account.

For non-US investors:

- Getting started for non-US investors - Start here.
- Investment philosophy for non-US investors - Our investment principles.
- Investing start-up kit for non-US investors - A top-down approach to start investing.
- Outline of non-US domiciles - Overview of topics specifically for non-US investors.

Personal finance

Personal finance covers not only investing, but day-to-day finances, budgeting, insurance, taxes, estate planning, and retirement.

For US investors:

- Personal finance planning start-up kit - Start here.
- Financial planning - The first thing you should do.
- Household budgeting - Understand how much you make and how much you spend.
- Emergency fund - Have cash on-hand for life's unexpected events.
- Insurance - Auto, home, medical
- Estate planning - Be prepared when bad things happen.

Retirement

Retirement is a major event in many people's lives. It is not only a lifestyle change, but a change in income and spending.

Planning for this life-changing event is important.

For US investors:

- Retirement planning start-up kit - Start here.
- Preparing for retirement - Steps you should take before retiring.
- Retirement policy statement - Lay out your retirement plans and strategies.

Tax-Advantaged Accounts

401(k) / 403(b):
The Work Bucket
(The Match!)

IRA (Roth or Traditional):
The Self-Service Bucket

HSA:
The Stealth IRA (Triple Tax Advantage)

529:
The Education Bucket

The Order of Operations

Emergency Fund (Safety First)

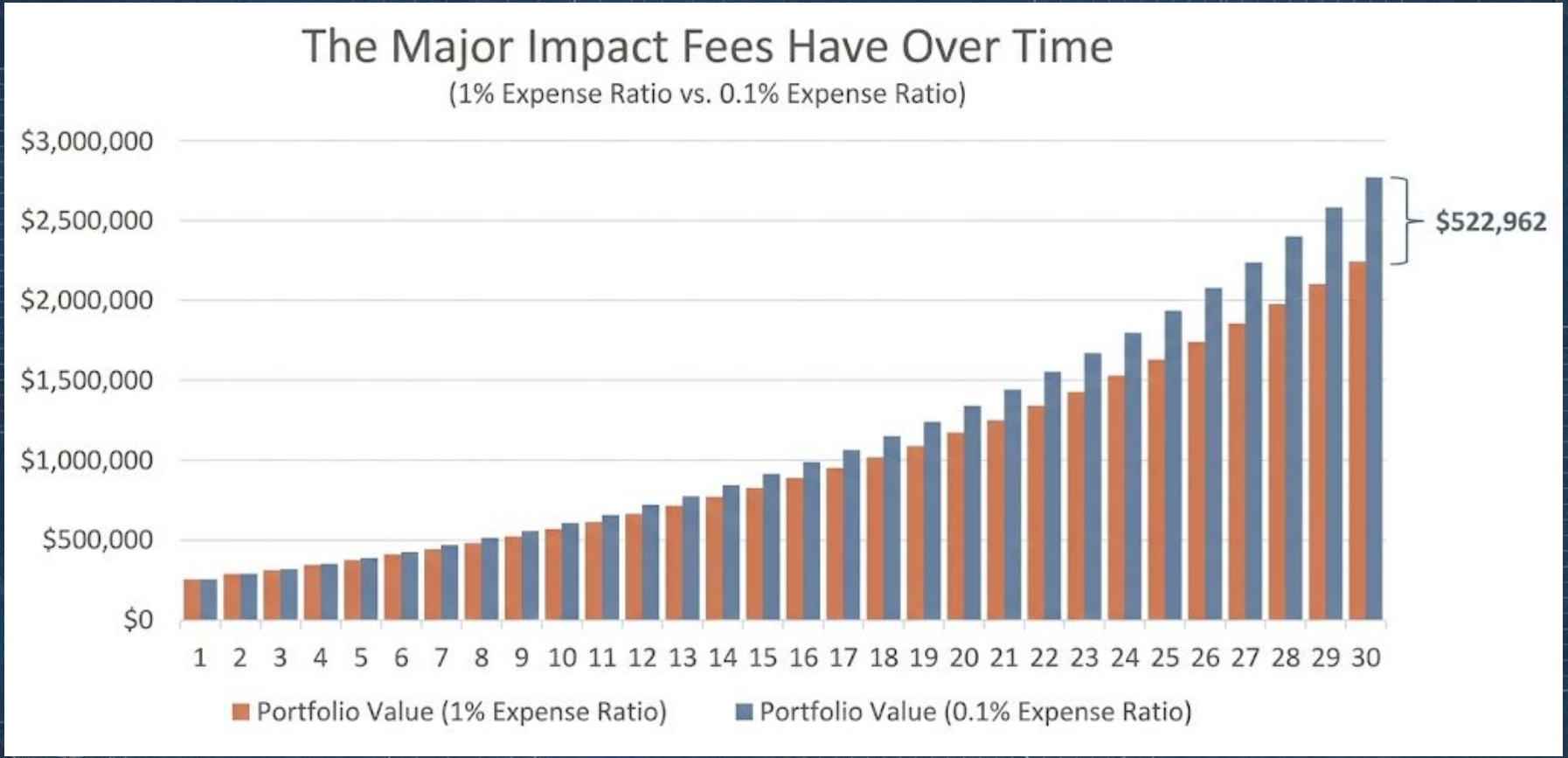
401(k) Match (Free Money)

High-Interest Debt (Guaranteed Return)

HSA & Roth IRA (Tax-Free Growth)

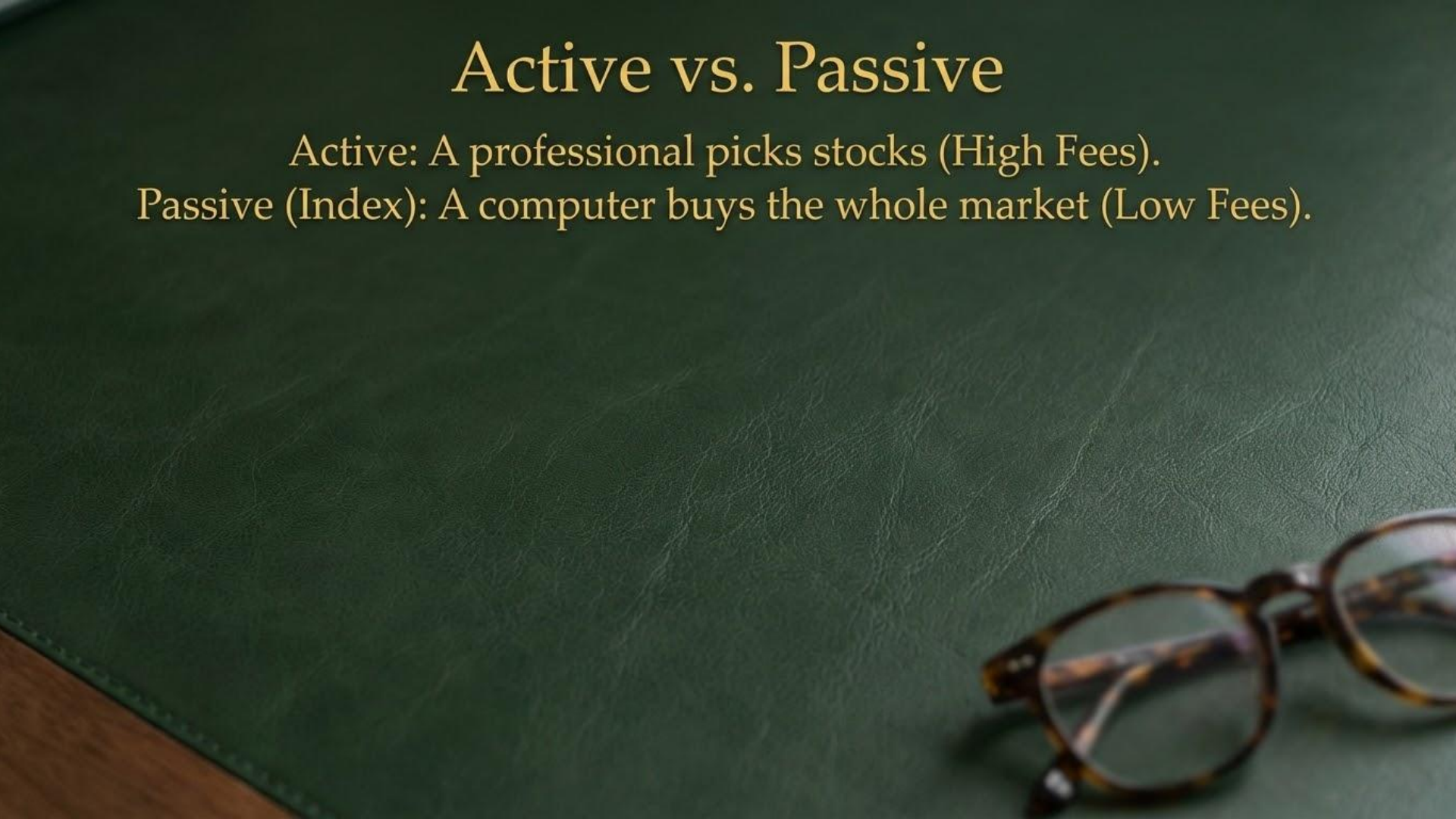
Max Out 401(k) (Fill the Work Bucket)

Taxable Brokerage / Mortgage (The Bridge)


The Major Impact Fees Have Over Time
(1% Expense Ratio vs. 0.1% Expense Ratio)
$3,000,000
$2,500,000
$2,000,000
$1,500,000
$1,000,000
$500,000
$0
$522,962
1 2 3 4 5 6 7 8 9 10 11 12 13 14 15 16 17 18 19 20 21 22 23 24 25 26 27 28 29 30
Portfolio Value (1% Expense Ratio)
Portfolio Value (0.1% Expense Ratio)

Active vs. Passive

Active: A professional picks stocks (High Fees).
Passive (Index): A computer buys the whole market (Low Fees).



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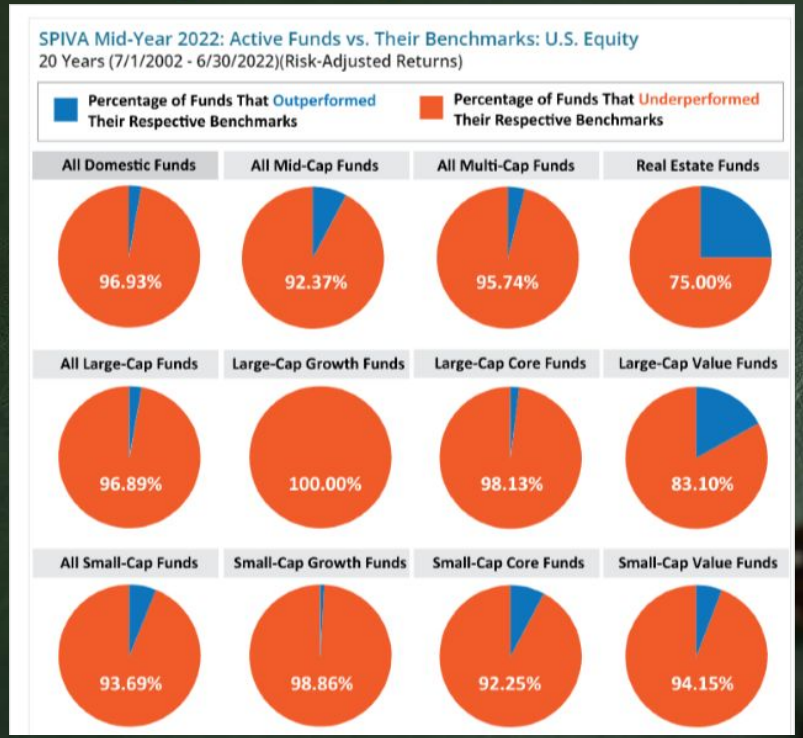
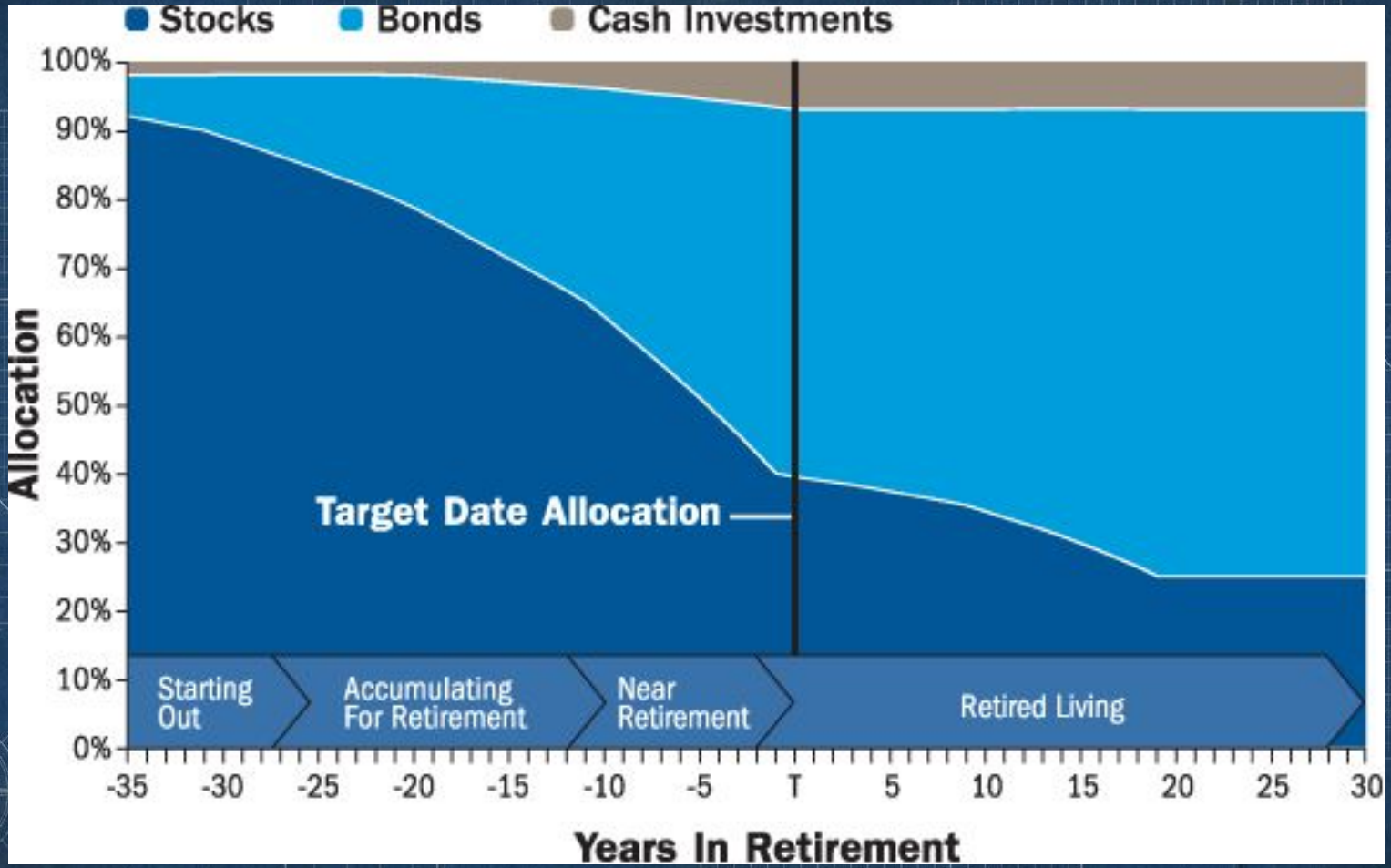
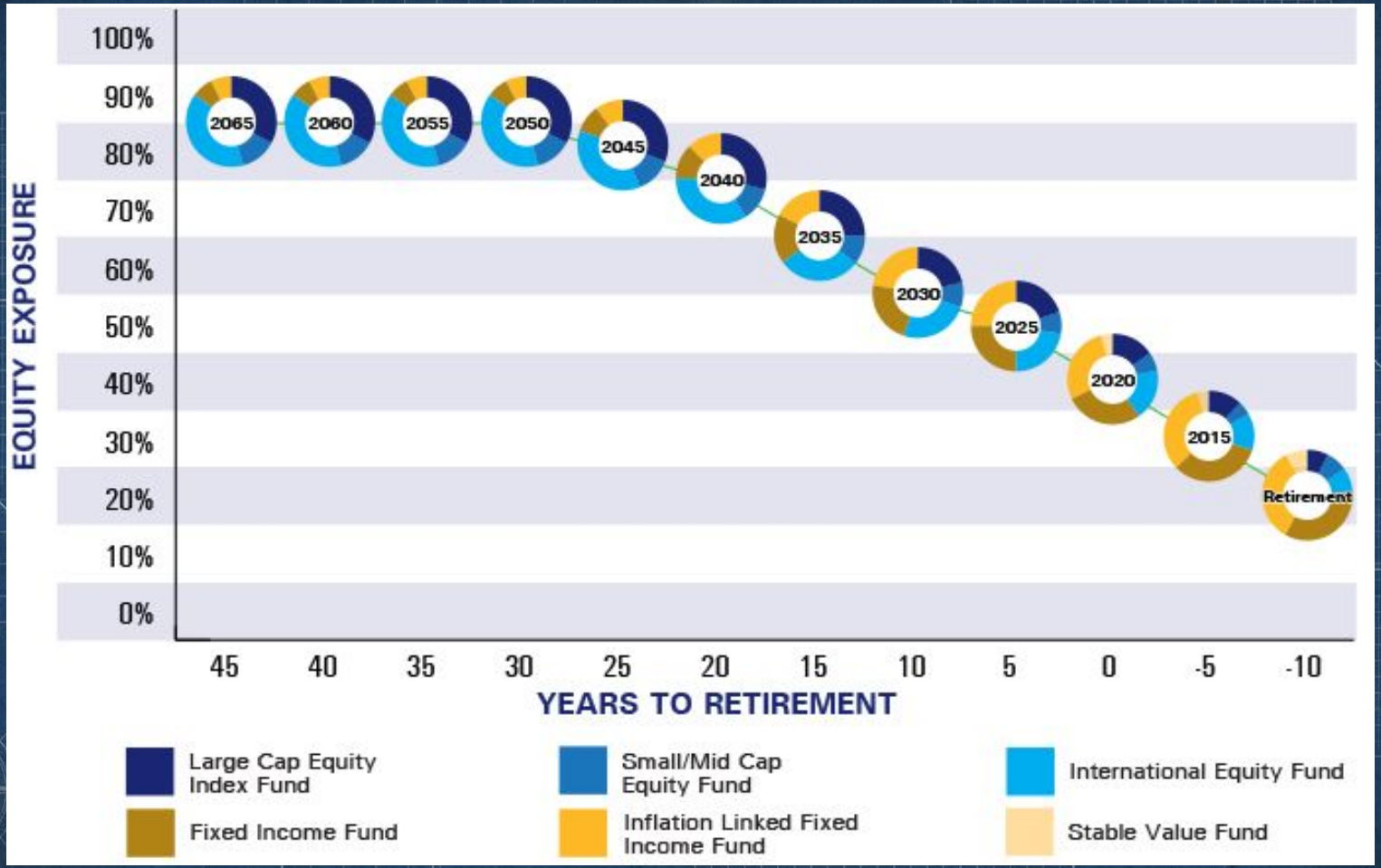


Target Date Funds (TDF)

- The ‘Easy Button’ for Investing
- Automatically adjusts your risk as you age
- Set it and forget it.


Stocks
Bonds
Cash Investments
100%
90%
80%
70%
60%
50%
40%
30%
20%
10%
0%
Allocation
Target Date Allocation
Starting Out
Accumulating For Retirement
Near Retirement
Retired Living
-35
-30
-25
-20
-15
-10
-5
T
5
10
15
20
25
30
Years In Retirement


EQUITY EXPOSURE
100%
90%
80%
70%
60%
50%
40%
30%
20%
10%
0%
2065
2060
2055
2050
2045
2040
2035
2030
2025
2020
2015
Retirement
45
40
35
30
25
20
15
10
5
0
-5
-10
YEARS TO RETIREMENT
Large Cap Equity Index Fund
Small/Mid Cap Equity Fund
International Equity Fund
Fixed Income Fund
Inflation Linked Fixed Income Fund
Stable Value Fund

Financial Independence (FI)
The exact crossover point where your assets produce enough income to replace your paycheck. Freeing you to work, give, or minister by choice, not necessity.

The 4% Rule & "Your Number"

Step 1: Estimate Annual Spending Needs (e.g., $60,000).

Step 2: Subtract Social Security (e.g., $20,000).

Step 3: The Gap = $40,000.

Step 4: Multiply the Gap by 25.

FI Number = $1,000,000

Rule of 25 IN YOUR RETIREMENT 4% Rule

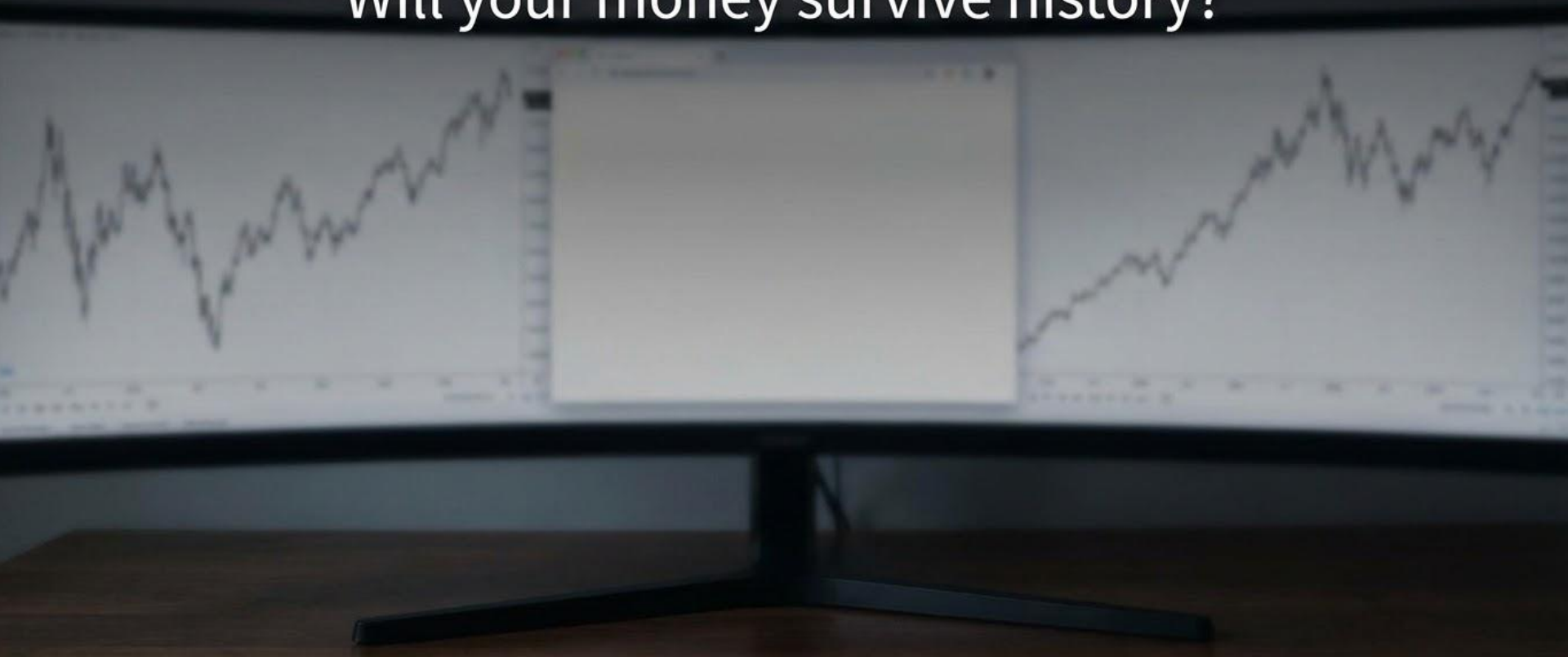
YOU'LL NEED THIS MUCH MONEY INVESTED:	IF YOU WANT THIS MUCH MONEY ...		
	PER DAY:	PER MONTH:	PER YEAR:
$2,500,000	$274	$8,333	$100,000
$2,250,000	$247	$7,500	$90,000
$2,000,000	$219	$6,667	$80,000
$1,750,000	$192	$5,833	$70,000
$1,500,000	$164	$5,000	$60,000
$1,250,000	$137	$4,167	$50,000
$1,000,000	$110	$3,333	$40,000
$750,000	$82	$2,500	$30,000
$500,000	$55	$1,667	$20,000
$250,000	$27	$833	$10,000

CAMP F.I.R.E. Get Rich Quickish

www.CampFIREfinance.com

Testing the Plan (FIRECalc)

Will your money survive history?



Who to Trust

The Script: “Are you legally acting as a fiduciary for me at all times?”

Fiduciary: Legally required to act in your best interest.

Fee-Only: Pay for their time, not a percentage.

The Investor: Core Concepts

- **The Mandate:** Productive stewardship
- **The Math:** Time + Compound Interest
- **The Strategy:** Low-Cost Index Funds
- **The Behavior:** Stay the Course
- **The Goal:** Financial Independence

Recommended Resources

Community: Bogleheads.org

Podcast: The Stay Wealthy Podcast (Taylor Schulte)

Tools: FIRECalc.com

1 Timothy 6:17 (ESV)

As for the rich in this present age, charge them not to be haughty, nor to set their hopes on the uncertainty of riches, but on God, who richly provides us with everything to enjoy.